Ethan's New Firm

On January 1, 2023, Ethan Buell and his friend Ryan started a business to import product X from Germany and sell it in the United States. Product X had been launched successfully in Germany the previous year, and Ethan and Ryan believed it offered a sound business opportunity.

Carefully read the facts below and then answer the questions at the end of the document.

Facts from January 1 to June 30, 2023

1. On January 1, Ethan and Ryan each deposited $10,000 in a bank account to start the business.
2. Also on January 1, the firm borrowed $20,000 from a local bank at 10% interest per year. The loan is expected to be repaid in installments: 50% on June 30 and 50% at the end of the year.
3. On the same day, they rented a store for the six-month accounting period and paid the full rent of $12,000 in advance.
4. The firm bought equipment needed to operate the store for $9,000 cash. Ethan and Ryan estimate that the equipment will last three years and will have no residual value.
5. The first batch of product X cost $36,000. The firm paid $15,000 cash and agreed to pay the remainder to the supplier later.
6. Some defective units from the first batch, costing $6,000, were returned to the supplier, who agreed to take them back.
7. On January 1, the firm hired a store assistant. Her salary is $1,800 per month.
8. The store opened on January 3.
9. On April 15, a second batch of product X was purchased for $48,000 on account.
10. Sales during the six-month period totaled $80,000. Customers paid 70% in cash. The cost of the units sold was $36,000.
11. The firm paid $18,000 to the supplier, reducing the balance owed for the first batch.
12. The firm collected $8,000 from customers who had initially bought on credit. The remaining customer balance is expected to be collected after June 30.

13. Utilities for the six-month period totaled $2,400 and were paid in cash.
14. During the six-month period, the store assistant was paid $9,800 cash. The remaining amount will be paid shortly after June 30.
15. No interest was paid to the bank during the accounting period.
16. On June 30, the firm recognized the full six months of rent expense and six months of depreciation on the equipment.
17. On June 30, the firm repaid half of the bank loan principal.
18. On June 30, Ethan received a call from an important retailer that was interested in buying a large amount of product X regularly.

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Questions

a. Prepare the Balance Sheet of the firm on January 1 and June 30, 2023.

b. Assess whether the firm earned money during the six-month accounting period.